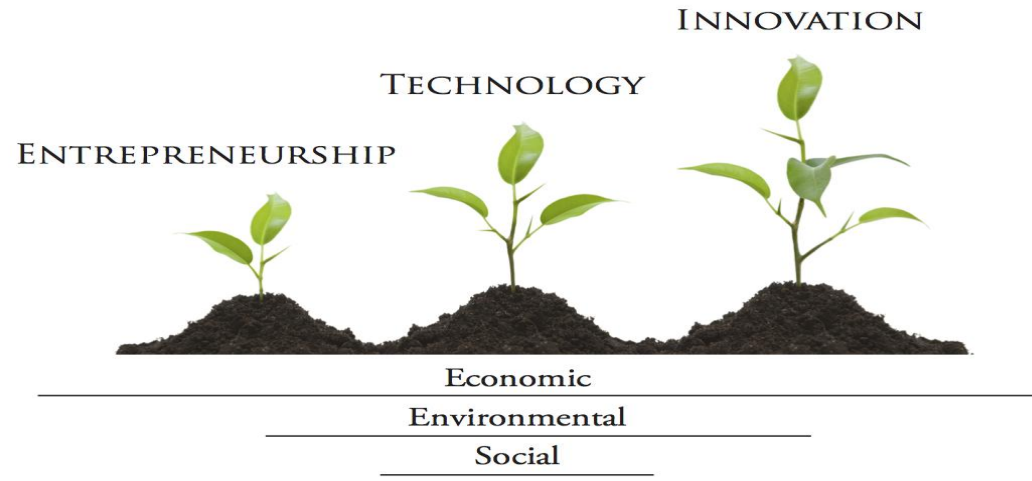




Entrepreneurship in IT

Ruba Awayes

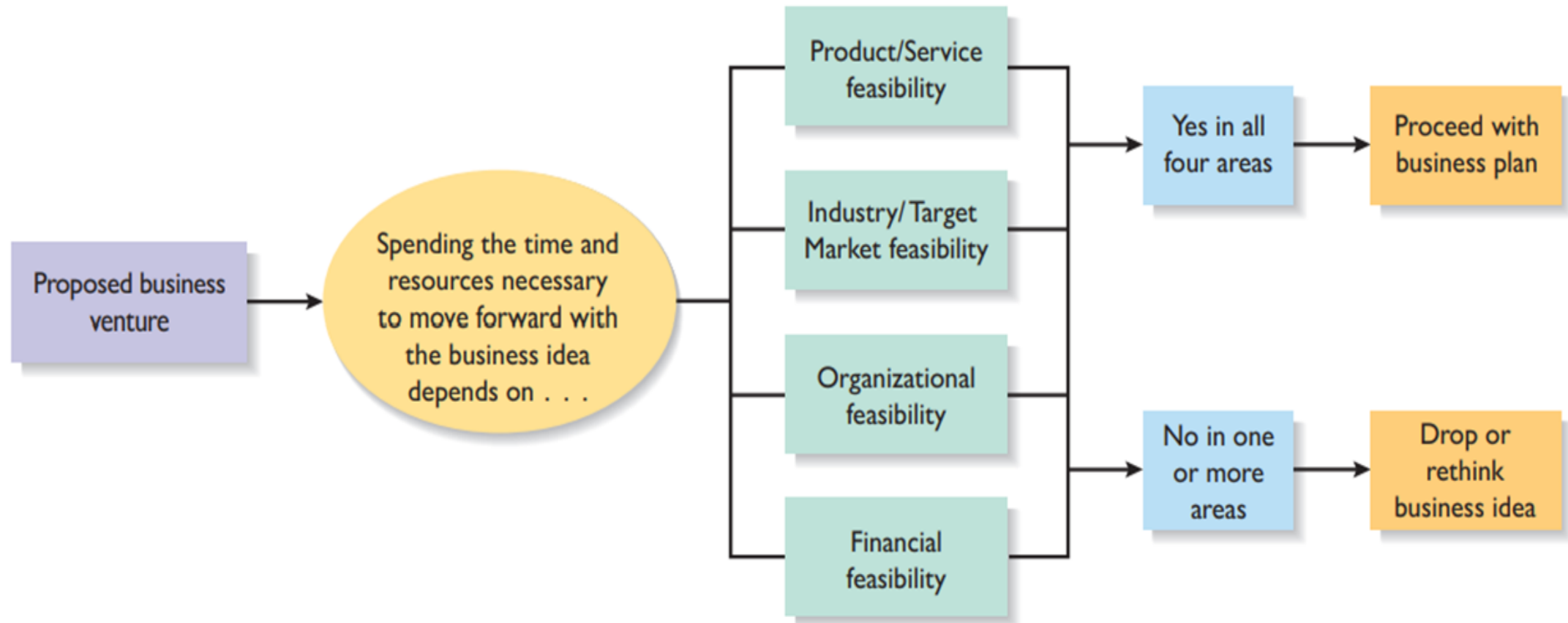
Feasibility Analysis (1 of 3)

- Feasibility analysis is the process of determining whether a business idea is viable.
- It is the preliminary evaluation of a business idea, conducted for the purpose of determining whether the idea is worth pursuing.
- Completing a feasibility analysis requires both primary and secondary research.

Feasibility Analysis (2 of 3)

- Timing of Feasibility Analysis
 - The proper time to conduct a feasibility analysis is early in thinking through the prospects for a new business.
 - The thought is to screen ideas before a lot of resources are spent on them.
- Components of a Properly Conducted Feasibility Analysis
 - A properly conducted feasibility analysis includes four separate components, as discussed in the following slides.

Role of Feasibility Analysis in Developing Successful Business Ideas



Feasibility Analysis (3 of 3)

Forms of Feasibility Analysis

- 1) Product/Service Feasibility
- 2) Industry/Target Market Feasibility
- 3) Organizational Feasibility
- 4) Financial Feasibility

1.0 Product/Service Feasibility Analysis

Purpose

- To assess the overall appeal of the product or service being proposed.
- Before a prospective firm rushes a new product or service into development, it should be sure that the product or service is what prospective customers want.

Components of product/service feasibility analysis

- Product/Service Desirability
- Product/Service Demand

Product/Service Desirability (1 of 2)

First, ask the following questions to determine the basic appeal of the product or service.

- Does it make sense? Is it reasonable? Is it something consumers will get excited about?
- Does it take advantage of an environmental trend, solve a problem, or take advantage of a gap in the marketplace?
- Is this a good time to introduce the product or service to the market?
- Are there any fatal flaws in the product or service's basic design or concept?

Product/Service Desirability (2 of 2)

- Second, Administer a Concept Test
 - A concept statement should be developed.
 - **A concept statement** is a one-page description of a product or service idea that is distributed to people who are asked to provide feedback on the potential of the idea.
 - The feedback will hopefully provide the entrepreneur:
 - A sense of the viability of the product or service idea.
 - Suggestions for how the idea can be strengthened or “tweaked” before proceeding further.

New Venture Fitness Drinks' Concept Statement

New Business Concept New Venture Fitness Drinks Inc.

Product

New Venture Fitness Drinks will sell delicious, nutrition-filled, all-natural fitness drinks to thirsty sports enthusiasts. The drinks will be sold through small storefronts (600 sq. ft.) that will be the same size as popular smoothie restaurants. The drinks were formulated by Dr. William Peters, a world-renowned nutritionist, and Dr. Michelle Smith, a sportsmedicine specialist, on behalf of New Venture Fitness Drinks and its customers.

Target Market

In the first three years of operation, New Venture Fitness Drinks plans to open three or four restaurants. They will all be located near large sports complexes that contain soccer fields and softball diamonds. The target market is sports enthusiasts.

Why New Venture Fitness Drinks?

The industry for sports drinks continues to grow. New Venture Fitness Drinks will introduce exciting new sports drinks that will be priced between \$1.50 and \$2.50 per 16-ounce serving. Energy bars and other over-the-counter sports snacks will also be sold. Each restaurant will contain comfortable tables and chairs (both inside and outside) where sports enthusiasts can congregate after a game. The atmosphere will be fun, cheerful, and uplifting.

Special Feature—No Other Restaurant Does This

As a special feature, New Venture Fitness Drinks will videotape select sporting events that take place in the sports complexes nearest its restaurants and will replay highlights of the games on video monitors in their restaurants. The “highlight” film will be a 30-minute film that will play continuously from the previous day’s sporting events. This special feature will allow sports enthusiasts, from kids playing soccer to adults in softball leagues, to drop in and see themselves and their teammates on television.

Management Team

New Venture Fitness Drinks is led by its cofounders, Jack Petty and Peggy Wills. Jack has 16 years of experience with a national restaurant chain, and Peggy is a certified public accountant with seven years of experience at a Big 4 accounting firm.

Product/Service Demand (1 of 3)

There are two steps to assessing product/service demand.

- **Step 1:** Talking Face-to-Face with Potential Customers
- **Step 2:** Using Online Tools

Product/Service Demand (2 of 3)

- **Step 1: Talking Face-to-Face with Potential Customers**
 - The only way to know if your product or service is what people want is by talking to them.
 - The idea is to gauge customer reaction to the general concept of what you want to sell, and then tweak, revise, and improve on the idea based on the feedback.
 - In some cases, talking with potential customers will cause an entrepreneur to abandon an idea.
 - Entrepreneurs are often surprised to find that a product idea they think solves a problem gets lukewarm reception when they talk to actual customers.

Product/Service Demand (3 of 3)

- **Step 2: Utilizing Online Tools**

- The second way to assess demand is to utilize online tools to gauge reaction from potential customers.
- Online tools include the following:
 - Administrating surveys (Survey Monkey and Qualtrics)
 - Querying Q&A Sites (Quora, Stack Overflow, Bright Journey)
 - Utilizing Google Trends
 - Purchasing Google AdWords to direct users to landing pages to see how many people request additional information.

2.0 Industry/Target Market Feasibility Analysis

Purpose

- Is an assessment of the overall appeal of the industry and the target market for the proposed business.
- An industry is a group of firms producing a similar product or service.
- A firm's target market is the limited portion of the industry it plans to go after.

Components of industry/target market feasibility analysis

- Industry Attractiveness
- Target Market Attractiveness

Industry Attractiveness (1 of 2)

- Industries **vary** in terms of their overall attractiveness.
- In general, the most attractive industries have the characteristics depicted on the next slide.
- **Particularly important**—the degree to which environmental and business trends are moving in favor rather than against the industry.

Industry Attractiveness (2 of 2)

Characteristics of Attractive Industries

- Are young rather than old
- Are early rather than late in their life cycle
- Are fragmented rather than concentrated
- Are growing rather than shrinking
- Are selling products and services that customers “must have” rather than “want to have”
- Are not crowded with competing firms
- Have high rather than low operating margins
- Are not highly dependent on the historically low price of a key raw material, like gasoline or flour, to remain profitable

Target Market Attractiveness

- The challenge in identifying an attractive target market is to find a market that's large enough for the proposed business but is yet small enough to avoid attracting larger competitors.
- Assessing the attractiveness of a target market is tougher than assessing the attractiveness of an entire industry.
- Often, considerable ingenuity must be employed to find information to assess the attractiveness of a specific target market.

3.0 Organizational Feasibility Analysis

Purpose

- Is conducted to determine whether a proposed business has sufficient management expertise, organizational competence, and resources to successfully launch a business.

Components of organizational feasibility analysis

- Management Prowess (براعة)
- Resource Sufficiency

Management Prowess

- A proposed business should evaluate the prowess of its management team to satisfy itself that management has the requisite passion and expertise to launch the venture.
- Two of the most important factors in this area are:
 - The passion that the sole entrepreneur or the founding team has for the business idea
 - The extent to which the sole entrepreneur or the founding team understands the markets in which the firm will participate.

Resource Sufficiency (1 of 2)

- This topic pertains to an assessment of whether an entrepreneur has sufficient resources to launch the proposed venture.
- To test resource sufficiency, a firm should list the 6 to 12 most critical nonfinancial resources that will be needed to move the business idea forward successfully.
 - If critical resources are not available in certain areas, it may be impractical to proceed with the business idea.

Resource Sufficiency (2 of 2)

Nonfinancial resources that may be critical to the successful launch of a new business:

- Affordable office space
- Lab space, manufacturing space, or space to launch a service business
- Contract manufacturers or service providers
- Key management employees (now and in the future)
- Key support personnel (now and in the future)
- Ability to obtain intellectual property protection
- Support of local and state governments
- Ability to form favorable business partnerships

4.0 Financial Feasibility Analysis

Purpose

- Is the final component of a comprehensive feasibility analysis.
- A preliminary financial assessment is sufficient.

Components of financial feasibility analysis

- Total Startup Cash Needed
- Financial Performance of Similar Businesses
- Overall Financial Attractiveness of the Proposed Venture

Total Startup Cash Needed

- The first issue refers to the total cash needed to prepare the business to make its first sale.
- An **actual budget** should be prepared that lists all anticipated **capital purchases and operating expenses**.
- The point of this exercise is to determine if the proposed venture is realistic given the total startup cash needed.
- There are worksheets posted online that help entrepreneurs determine the startup costs to launch their businesses.

Financial Performance of Similar Businesses

- **Estimate** the proposed startup's financial performance by comparing it to similar, already established businesses.
- There are several ways to doing this.
 - First, there are many **reports available**, some for free and some that require a fee, offering detailed industry trend analysis and reports on thousands of individual firms.
 - Second, simple **observational research** may be needed. For example, if you were proposing to open a new smoothie shop, you could gauge the type of sales to expect by estimating the number of people who patronize similar smoothie shops in your area, along with the average purchase per visit.

Overall Financial Attractiveness of the Proposed Venture (1 of 2)

- A number of other financial factors are associated with promising business startups.
- In the feasibility analysis stage, the extent to which a business opportunity is positive relative to each factor is based on an estimate rather than actual performance.
- The information on the next slide lists the factors that pertain to the overall attractiveness of the financial feasibility of the business idea.

Overall Financial Attractiveness of the Proposed Venture (2 of 2)

Financial Factors Associated with Promising Business Opportunities

- Steady and rapid growth in sales during the first 5 to 7 years in a clearly defined market niche.
- High percentage of recurring revenue—meaning that once a firm wins a client, the client will provide recurring sources of revenue.
- Ability to forecast income and expenses with a reasonable degree of certainty.
- Internally generated funds to finance and sustain growth.
- Availability of an exit opportunity for investors to convert equity to cash.

Template for completing a feasibility analysis

- It's called "First Screen" because it's a tool that can be used in the initial pass at determining the feasibility of a business idea.
- If a business idea cuts muster at this stage, the next step is to complete a business plan.

Part 1:
Strength of Business Idea
 For each item, circle the most appropriate answer and make note of the (-1), (0), or (+1) score.

		Low Potential (-1)	Moderate Potential (0)	High Potential (+1)
1.	Extent to which the idea: • Takes advantage of an environmental trend • Solves a problem • Addresses an unfilled gap in the marketplace	Weak	Moderate	Strong
2.	Timeliness of entry to market	Not timely	Moderately timely	Very timely
3.	Extent to which the idea “adds value” for its buyer or end user	Low	Medium	High
4.	Extent to which the customer is satisfied by competing products that are already available	Very satisfied	Moderately satisfied	Not very satisfied or ambivalent
5.	Degree to which the idea requires customers to change their basic practices or behaviors	Substantial changes required	Moderate changes required	Small to no changes required

Part 2:
Industry-
Related Issues

		Low Potential (-1)	Moderate Potential (0)	High Potential (+1)
1.	Number of competitors	Many	Few	None
2.	Stage of industry life cycle	Maturity phase or decline phase	Growth phase	Emergence phase
3.	Growth rate of industry	Little or no growth	Moderate growth	Strong growth
4.	Importance of industry’s products and/or services to customers	“Ambivalent”	“Would like to have”	“Must have”
5.	Industry operating margins	Low	Moderate	High

Part 3:
Target Market
and Customer-
Related Issues

		Low Potential (-1)	Moderate Potential (0)	High Potential (+1)
1.	Identification of target market for the proposed new venture	Difficult to identify	May be able to identify	Identified
2.	Ability to create “barriers to entry” for potential competitors	Unable to create	May or may not be able to create	Can create
3.	Purchasing power of customers	Low	Moderate	High
4.	Ease of making customers aware of the new product or service	Low	Moderate	High
5.	Growth potential of target market	Low	Moderate	High

Part 4:
Founder- (or
Founders-) Related
Issues

		Low Potential (-1)	Moderate Potential (0)	High Potential (+1)
1.	Founder or founders experience in the industry	No experience	Moderate experience	Experienced
2.	Founder or founders skills as they relate to the proposed new venture's product or service	No skills	Moderate skills	Skilled
3.	Extent of the founder or founders professional and social networks in the relevant industry	None	Moderate	Extensive
4.	Extent to which the proposed new venture meets the founder or founders personal goals and aspirations	Weak	Moderate	Strong
5.	Likelihood that a team can be put together to launch and grow the new venture	Unlikely	Moderately likely	Very likely

Part 5:
Financial Issues

		Low Potential (-1)	Moderate Potential (0)	High Potential (+1)
1.	Initial capital investment	High	Moderate	Low
2.	Number of revenue drivers (ways in which the company makes money)	One	Two to three	More than three
3.	Time to break even	More than two years	One to two years	Less than one year
4.	Financial performance of similar businesses	Weak	Modest	Strong
5.	Ability to fund initial product (or service) development and/or initial startup expenses from personal funds or via bootstrapping	Low	Moderate	High

Overall Potential

Each part has five items. Scores will range from -5 to +5 for each part. The score is a guide—there is no established rule-of-thumb for the numerical score that equates to high potential, moderate potential, or low potential for each part.

The ranking is a judgment call.

	Score (-5 to +1)	Overall Potential of the Business Idea Based on Each Part	Suggestions for Improving the Potential
Part 1: Strength of Business Idea			
	High potential		
	Moderate potential		
	Low potential		
Part 2: Industry-Related Issues			
	High potential		
	Moderate potential		
	Low potential		
Part 3: Target Market and Customer-Related Issues			
	High potential		
	Moderate potential		
	Low potential		
Part 4: Founder- (or Founders-) Related Issues			
	High potential		
	Moderate potential		
	Low potential		
Part 5: Financial Issues			
	High potential		
	Moderate potential		
	Low potential		
Overall Assessment			
	High potential		
	Moderate potential		
	Low potential		